

EXTRACT COPY



KABWE MUNICIPAL COUNCIL

**MINUTES FOR THE STAKE HOLDERS BUDGET HEARING MEETING HELD
AT CLAYTON PARK, KABWE ON TUESDAY 14TH NOVEMBER, 2023
STARTING AT 10: 00 HOURS.**

MEMBERS PRESENT

See attached attendance registers.

**BGT /01/09/23: TOTAL BUDGET ESTIMATE FOR THE YEAR 2023 - K129,
652,284**

OPENING REMARKS

After the Nation anthem, the Director of Finance did well come everyone to the meeting and introduced that the meeting was called in order to bring all the stake holders from within the district to share all developmental plans in form of a budget. She added that, a Budget attached finances to each planned activity steaming from the Intergraded Development Plan (IDP). The IDP was put together by all stake Holders in the District who included different Ministries, NGOs and Different faith based Organization. He further stated that the budget would also focus on orienting Ward Development Committees on revenue mobilization in their respective wards. The Director of Finance then called upon the Chief Accountant Ms. Sante Sylvia to give a presentation on the budget performance for 2023. The Chief Accountant began by first giving an overview on the geographical location of the District and its population outlined as follows;

GEOGRAPHIC LOCATION OF KABWE

The Council is located in Kabwe District in Central Province of Zambia, on Freedom Avenue. The District is the Provincial

headquarters of central province of the Republic of Zambia and is the commercial center of the province. The district stretches 12km north to south and 11km west to east with an approximate area of 1 572 square kilometers. The town boundary is approximately 4, 018 hectares (4.018 km²). Location: It is located in vicinity of latitude 14 27' South and longitude 28 27' East.

POPULATION BY GENDER AND POVERTY LEVELS

The population of the district stood at 202, 360 (2010 Census) comprising 98, 781 males and 103, 579 females with a 0.5% population growth rate. It had an estimated 28, 397 households emanating from the 29 wards of the District at the time of last Census.

MAJOR ECONOMIC ACTIVITIES IN THE DISTRICT

Kabwe's economy presently is largely driven by government institutions that accounted for more than 50% employment for the local population. The institutions included the Army and related military services, Prison services, Educational Institutions which included Mulungushi University, Kwame Nkrumah University and University of Kabwe, and Health Institutions. Local investments in tertiary education such as universities and colleges also supports the economy of the district. With a steady growing light industry in town with a mixture of manufacturing and packaging, and pharmaceutical establishment, farming remained a key propellant of most of industries in mealie meal production and packaging, and agricultural fertilizer.

Furthermore, the surrounding farming region that is within and beyond the districts, placed Kabwe town in a significant position in the regional food systems which linked into the national system. The agricultural productivity was strongly participated by a diversity of small scale and commercial farmers as part of the economic systems of the town.

i. TOTAL BUDGET ESTIMATE FOR THE YEAR 2023 - K129, 652,284

The Director of Finance informed the meeting that the Local Authority had its 2023 budget of K 129, 652, 284.00 approved by the Ministry of Local Government and Rural Development. This was to be funded with K 54, 607,692.00 from locally Generated Revenue, K 18,771, 381.00 from equalization Fund and K 56, 627,804 as CDF.

See Table Showing Budget Performance up to September, 2023

REVENUE

CODE	DESCRIPTION	APPROVED BUDGET	ACTUAL COLLECTION SEPTEMBER 2023	PERFORMANCE %	BALANCE FROM BUDGET
		ZMW	ZMW	ZMW	
151	Owners Rates	24,031,318	7,861,527	33	16,169,791
152	Fees and charges	9,325,585	7,080,852	76	2,244,733
152	Licences	1,375,000	380,765	28	994,235
154	Levies	1,535,000	744,693	49	790,307
155	Permits	4,694,500	2,629,530	56	2,064,970
156	Charges	13,291,000	4,954,396	37	8,336,604
157	Other Income	355,289	203,670	57	151,619
	Locally generated revenue				
	Total	54,607,692	23,855,433	44	30,752,259

ii. EXPENDITURE PERFORMANCE PER PROGRAMME – 2023

The Director of finance informed the meeting that the expenditure Budget performance for 2023 was at 52% of the Budget. (K 66, 963,566.00 actual out of K 129, 652, 284.00).

Programme Name	2023	2023 ACTUAL - SEPTEMBER	% variance(+/-)
1 Constituency Development Fund	56,600,000	27,371,544	48
2 Management and support Services	29,329,460	18,253,872	59
3 Local Governance	1,726,778	1,062,294	4
4 Integrated Development Planning	8,621,053	3,421,210	63
5 Economic and business development	194,365	56,241	29
6 Public health and Environmental protection	4,753,718	3,452,187	73
7 Housing and Community Amenities	19,154,990	9,103,759	48

8	Recreation Culture and Religion	1,103,641	765,149	69
9	Education and skills development	62,910	13,420	21
10	Social Protection			
11	Public order and safety	7,519,300	3,180,240	42
12	Revenue Mobilization & Management	586,069	283,650	48
	Grand total	129,652,284	66,963,566	52

iii. MATTERS ARISING FROM THE REPORT

Overview of the 5% Ward Development Fund*

One of the Ward Development Committees raised a question about what the Ward Development Fund (WDF) was. The Director of Finance explained that the WDF constitutes 5% of the locally generated revenue, meant to support development projects across all wards.

Concerns Raised by WDCs

Several Ward Development Committees expressed concern regarding the non-implementation of the 5% Ward Development Fund. They noted that they had not seen any benefits from the fund and inquired why they were not receiving the expected allocations. The Director of Finance responded to the WDCs' concerns, explaining that each ward was entitled to ZMW 81,000.00 from the 5% Ward Development Fund, based on the locally generated revenue. The Director advised all WDCs to apply for projects under this fund, which the Local Authority could implement.

Proposed Projects by WDCs

Several WDCs proposed projects that could be implemented using the Ward Development Fund. These included:

- ✓ Installation of streetlights in all wards
- ✓ Road maintenance in all wards
- ✓ Drainage desilting in all wards
- ✓ Construction of a refuse bay in Kawama Ward

iv. 2024 BUDGET ESTIMATES

OBB PROGRAMME OBJECTIVES

The Director of Finance informed the meeting that for some time now, Local Authorities had been preparing their budgets using Out Put Based Budget (OBB). This is the kind of budgeting which focuses on the objectives being realised or actualised.

He highlighted the following as some of the programme objectives:

i. **Program – Constituency Development**

Objective - To facilitate equitable development, reduce poverty, support job creation and provide for vulnerable learners to access Secondary Boarding Schools and Technical Education, Vocational and Entrepreneurship Training Institutions.

ii. **Management and Support Services**

Objective - To provide organizational oversight as well as facilitate effective and efficient management of financial and human resources of the Local Authority

iii. **Local Governance**

Objective - To facilitate community participation in decision making for sustainable local development.

iv. **Integrated Development Planning**

Objective - To guide spatial, social-economic, and environmental planning in the district.

v. **Economic and Business Development.**

Objective - To provide an enabling business environment that would attract investors from both within and outside the district.

vi. **Public Health and Environmental Protection**

Objective -

To promote public health and sustainable management of the environment in the district.

vii. **Housing and Community Amenities**

Objective - To promote sustainable infrastructure development and community amenities.

viii. **Recreation Culture and Religion**

Objective - To promote recreation, culture, religious affairs, and talent identification in the district.

ix. **Education and Skills Development**

Objective - To facilitate literacy and skills development in the communities

X **Social Protection**

Objective - To provide social protection and support vulnerable people (disabled, children in need and the old) in the district.

xi. **Public order & safety**

Objective -

The Director of Finance informed that meeting that Public Order and Safety was directed at enforcing adherence to by-laws and other applicable laws and promote safety of private and public property.

xii. **Resource Mobilization and Management**

This was directed at ensuring that there was a systematic, predictable and well-coordinated approach to soliciting, acquiring, management, accounting, reporting and monitoring of resources.

**v. BUDGET FORECASTING ALLOCATION BY PROGRAMME FOR
DEVOLVED MINISTRIES -2024**

The Director of Finance further informed the gathering that after decentralisation, the Local Authority did receive and integrated budgets for Devolved ministries as follows:

	PROGRAMME ALLOCATED	AMOUNT
i.	MINISTRY OF HEALTH	
	Primary Health Care	2,552,898.00
	Hospital Services	556,616.00
	Management and Support Services	547,997.00
	Subtotal	3,657,511.00
ii.	MINISTRY OF FISHERIES	
	Veterinary Services	93,608.00
iii.	MIN OF YOUTHS, SPORT AND ARTS	
	Sports Development & Management	258620.00
iv.	MINISTRY OF TOURISM	
	Culture Preservations and Development	7,759.00
V.	MIN OF HOME AFFAIRS & INTERNAL SECURITY	
	National Archives	2,000.00
	GRAND TOTAL	4, 019, 498.00

CHALLENGES

The Director of Finance indicated that rolling out and implementing the budget for the Local Authority was not without challenges. He highlighted the following:

- i. Lack of adequate transport for revenue mobilization.
- ii. Low level of compliance on local taxes by local people.
- iii. Ever increasing statutory debt due to penalties by ZRA and NAPSA.
- iv. Bloated wage bill due to Retirees that were retired but maintained on the payroll.

ACHIEVEMENTS

The Director of Finance assured the meeting that besides the challenges, the Council thrived hard and achieved on the following:

- i. The Council successfully removed street vendors from the streets to go and trade in designated areas.
- ii. Established 6 check points for Revenue collection.
- iii. 50% progress towards digitization of all revenue points by use of the Indo Bank App.
- iv. Engaged all WDCs to help in revenue collection on property rates and others.
- v. Managed to clear 16 Retirees with their outstanding terminal benefits.

PRESENTATION ON REVENUE MOBILIZATION

The Director of Finance gave an overview on the legal framework governing revenue collection for Local Authorities. He stated that subject to the Constitution and the Business Regulatory Act, 2014, a local authority may make by-laws to impose a levy on;

(a) leviable persons owning or occupying property or premises situated within the area of the local authority;

(b) leviable persons carrying on a business, trade or occupation within the area of the local authority; or

(c) the purchase or sale of a commodity within the area of the local authority.

He further highlighted the categories of revenue for the Local Authorities which included the following; Local Taxes/Rates, Fees and Charges, Licenses, Levies, Permits, Charges, Other Incomes and National Support (Grants). He then explained what each category involved such as Fees and charges included; Consent fees, Survey fees, Building inspection-fees, Change of premise use, Container/Ntemba fees, Rentals/lease of Council's properties. Then Mr. Lutangu shared real-life case studies to illustrate successful revenue mobilization strategies implemented by other local authorities.

The participants raised concerns with regard to the challenges that the local authority faced in revenue collection and what strategies were employed to address the challenges. Mr. Lutangu responded that the Local Authority has enhanced on community sensitization to ensure compliance. Clarification was sought on the legalities of certain revenue collection practices, which were addressed by Mr. Lutangu demonstrated various methods of revenue collection, including door-to-door collection, use of mobile payment systems, and establishment of collection centers.

In closing the meeting, the Director of Finance assured the gathering that Council would continue to improving the means of revenue collection in order to meet the budget plans and ultimately provide quality service to the residents of Kabwe.

**CERTIFIED TRUE COPY OF MINUTE NO. BGT /01/09/23 FOR THE STAKE
HOLDERS BUDGET HEARING MEETING HELD AT CLAYTON PARK, KABWE
ON TUESDAY 14TH NOVEMBER, 2023 STARTING AT 10: 00 HOURS.**

PREPARED BY: Changwe Nsakanya.....
Director of Human Resources and Administration

DATE.....20-11-23

JOVAX NGOMA
TOWN CLERK.....

DATE.....20/11/23